to beat the market is Alfred Cowles III's presentation to the Econometric Society of Cincinnati on the last day of 1932. Cowles, who subscribed to many different stock market services, decided that he'd be better off subscribing to only one—the best, naturally—but no data existed tracking the performance of the stock market analysts. Starting in 1928, Cowles collected the track records of the most widely circulated financial services and, with the aid of a punch card calculating machine, he studied their records. Of the 16 statistical services, 25 insurance companies, 24 forecasting letters, and the *Dow Theory* editorials of William Peter Hamilton over the period from December 1903 to December 1929, Cowles found only a handful had beaten the market. Worse, Cowles concluded of the performances of those few who had beaten the market that their results were "little, if any, better than what might be expected to result from pure chance."[39] He made the last claim after he assembled random market analyses from shuffled decks containing hundreds of cards, and found that the cards tended to beat the professional analysts. More recently John C. Bogle, legendary founder of The Vanguard Group, appeared before the Senate Subcommittee on Financial Management, the Budget, and International Security on November 3, 2003, to demonstrate the paucity of the returns generated by professional investors. Bogle's argument was that the competitive nature of the investment industry meant that the return of the average mutual fund should equal the return of the market less the fees charged by the mutual fund industry. Bogle testified:[40]

> *During the period 1984–2002, the U.S. stock market, as measured by the S&P 500 Index, provided an annual rate of return of 12.2 percent. The return on average mutual fund was 9.3 percent. The reason for that lag is not very complicated: As the trained, experienced investment professionals employed by the industry's managers compete with one another to pick the best stocks, their results average out. Thus, the average mutual fund should earn the market's return—before costs. Since all-in fund costs can be estimated at something like 3 percent per year, the annual lag of 2.9 percent in after-cost return seems simply to confirm that eminently reasonable hypothesis.*

While Bogle's thesis that professional investors can't beat the market because they *are* the market is "eminently reasonable," as he says, the data actually show that professional investors underperform the market by over 1 percent per year *before accounting for costs and management fees*.[41] Why might this be so? It seems that professional investors prefer glamour stocks and, as we have seen, glamour stocks lead, on average, to inferior performance.